

ENTRY SCORING SYSTEM

Per-TF RSI Recovery Matrix — Event-driven, no inter-pool gating. Score starts from the all-time D-RSI21 trough. Each bar is scored independently. Grouping (Pool A/B/C) is for classification only; all pools contribute directly to total.

Architecture Overview

Pool	Classification	Max Pts	Lifecycle	Gate
Pool A	RSI Recovery & Crossovers	55	Dynamic / Live-die	None
Pool B	Price Structure	35	Live / Dynamic	None
Pool C	Confirmation	25	Fire-and-hold / Live	None
Bonus	Structural	33	Live / Dynamic	None
Total		148		None

Formula: Entry Score = min(100, Pool A + Pool B + Pool C) + Bonus. Core pools capped at 100; Bonus is additive above 100.

Pool A — RSI Recovery | 55 pts | No Gate

Tracks individual RSI recovery, crossovers, and divergence across all four timeframes. Points grow as RSIs recover from cycle lows; shrink if RSIs fall back. Each signal on each timeframe scores independently.

Signal	Condition	4H	D	3D	W	Total	Lifecycle
RSI Divergence	Price LL, RSI HL at local minima	0.5	1.0	1.5	2.0	5.0	Fire-and-hold
RSI21 Reversal	Recovery from cycle low, scaled 0-100%	0-1.5	0-2.5	0-3.0	0-3.5	0-10.5	Dynamic
RSI36 Reversal	Recovery from cycle low, scaled 0-100%	0-0.5	0-1.0	0-1.0	0-1.5	0-4.0	Dynamic
RSI56 Reversal	Recovery from cycle low, scaled 0-100%	0-0.5	0-0.5	0-1.0	0-1.0	0-3.0	Dynamic
RSI21 > RSI36	Bullish crossover (21 crosses above 36)	1.5	2.5	3.0	3.5	10.5	Live/die
RSI21 > RSI56	Bullish crossover (21 crosses above 56)	1.0	1.5	2.0	2.5	7.0	Live/die
RSI36 > RSI56	Bullish crossover (36 crosses above 56)	0.5	1.0	1.5	2.0	5.0	Live/die
All RSI > 50	RSI21, RSI36, RSI56 all above 50	0.5	1.5	2.0	2.5	6.5	Live/die
Max per TF		6.5	12.0	16.0	19.0	53.5	Capped at 55

Raw sum across all TFs = 53.5. Capped at 55.

RSI Reversal Formula

For each RSI(x), track **cycle_low** = min(RSIx) since trough. **recovery_ratio** = (current - cycle_low) / (100 - cycle_low). **Points** = max_pts x min(1.0, recovery_ratio ^ 0.7). If RSI drops below previous values, points decrease proportionally. Power-curve scaling: faster reward in early recovery, asymptotic near 100.

Pool B — Price Structure | 35 pts | No Gate

Evaluates price structure for signs of basing and recovery. Each signal fires independently based on its own condition. No dependency on Pool A.

Entry Scoring Matrix v2

Signal	Check	4H	D	3D	W	Total	Lifecycle
TP Flatten	TP28 range < 10% over 10 bars	2	1	1	0	4	Live
WC Flatten	WC50 range < 10% over 10 bars	2	1	1	0	4	Live
Price > TP	Close > TP28	3	4	6	0	13	Live
TP > WC	TP28 > WC50	3	5	6	0	14	Live
Max per TF		10	11	14	0	35	
Weekly TF has no Pool B signals by design — weekly structure captured by Pool C.							

Pool C — Confirmation | 25 pts | No Gate

Higher-conviction confirmation signals. Rarer but significant weight. Each signal fires independently — no dependency on Pool A or B.

Signal	Check	Pts	Lifecycle	Notes
W Divergence	Weekly bullish divergence (price LL, RSI HL)	10	Fire-and-hold	Highest single-signal weight
3D Divergence	3D bullish divergence (price LL, RSI HL)	5	Fire-and-hold	Confirms W divergence or standalone
D-RSI21 > 60	Daily RSI21 above 60	5	Live/die	Momentum confirmation
Cross-TF Boost	2+ TFs in Pool A with crossover + Price > TP on any	5	Live/die	Multi-TF agreement bonus
Total = 10 + 5 + 5 + 5 = 25. No gate multiplier applied.				

Bonus Pool | 33 pts max | Independent

Structural bonuses outside the core 100-point scoring. RSI-related bonuses absorbed into Pool A per-TF scoring. Bonus points are additive — stack on top of core score.

Bonus A — Structural (15 pts)

Signal	Check	Pts	Lifecycle	Notes
Volume Surge	Volume vs 20-bar avg on Daily TF	5	Live/die	>1.5x=2, >2.5x=4, >3.5x=5
Support Bounce	Proximity to prior structural peak	3	Live/die	<25%=1, <15%=2, <10%=3
Trend Quality	Secular uptrend conviction	10	Live/die	See breakdown below

Support Bounce Detail

Reference point: Prior structural peak found within 180-bar lookback from trough. This is the (swing high immediately preceding the highest peak), not the last completed HH pattern top. **Gate:** Stock must have fallen at least 15% from that peak. Points scored by proximity: within 25% = 1pt, within 15% = 2pts, within 10% = 3pts.

Bonus B — Uptrend Correction (18 pts)

Stocks in a confirmed secular uptrend that correct by 25%+ represent high-probability entry opportunities. Any technical indicator turning positive during such a correction should carry extra weight. This sub-pool captures that structural advantage.

Entry Scoring Matrix v2

Signal	Check	Pts	Lifecycle	Notes
Uptrend Confirmed	Stock in secular uptrend (200-DMA rising, price above)	3	Live	Prerequisite for this sub-pool
Correction Depth	Price fallen 25%+ from recent swing high	5	Live/die	25-35%=3, 35-45%=4, 45%+=5
RSI Turning Positive	Any RSI crossing above 50 from below	3	Live/die	Per-TF: 4H=0.5, D=1.0, 3D=0.5, W=1.0
Price Above Support	Price holding above 180-bar structural peak support	3	Live	Confirms correction is holding
Volume on Recovery	Above-average volume on up days during recovery	4	Live/die	Confirms institutional buying

Bonus B total = 3 + 5 + 3 + 3 + 4 = 18. All Bonus B signals require "Uptrend Confirmed" as a structural prerequisite (not a gate — other signals can still score, but Bonus B points only accumulate when uptrend is confirmed).

Trend Quality Breakdown

Component	Check	Pts
Relative Strength (1Y)	Outperforming best-match Nifty sectoral index, 1 year	2
Relative Strength (6M)	Outperforming best-match Nifty sectoral index, 6 months	1
Relative Strength (3M)	Outperforming best-match Nifty sectoral index, 3 months	1
MA Structure	Price above key moving averages	2
Swing Lows Rising	Successive swing lows making higher lows	2
Correction Compression	Current correction smaller than prior	1
Recovery Speed	Price recovering faster than prior correction	1

Relative Strength benchmark: Best-matching Nifty sectoral index per stock (e.g., Nifty India Defence for defence stocks, Nifty IT for IT stocks, Nifty Bank for banks, etc.). The matching index provides sector-relative performance context rather than absolute or broad-market comparison.

Entry Decision Thresholds

Core score (Pools A+B+C) capped at 100. Bonus (A+B) is additive above 100. Position sizing scales with total score including bonus.

Score Range	Action	Position Size	Rationale
0 - 49	DON'T ENTER	0%	Insufficient recovery evidence
50 - 69	PILOT BUY	25 - 30%	Early recovery, limited exposure
70 - 79	STANDARD ENTRY	60 - 70%	Solid multi-TF confirmation
80 - 89	FULL ENTRY	100%	Strong recovery across all TFs
90+	FULL ENTRY (strong)	100%	Max signal agreement + bonus

Max possible score: 100 (core) + 33 (bonus) = 133.

Trough-Gated Architecture

The entry scoring cycle is initiated by a trough detection event on the Daily timeframe. This defines when scoring begins and resets. All RSI recovery measurements track their cycle_low from this trough point onward.

Entry Scoring Matrix v2

Parameter	Value	Description
Trough Detection	D-RSI21 <= 40	11-bar local minimum on Daily RSI21
Cycle Reset	On new trough	All recovery baselines reset to new cycle_low
Lookback (Support)	180 bars	Structural peak search window from trough
Support Reference	Prior structural peak	, not HH pattern top

Design Principles

1. No Inter-Pool Gating

Each pool scores independently based on its own conditions. Pool B does not require Pool A signals to activate. Pool C does not require Pool A or B scores to unlock. Grouping into A/B/C is purely organizational: A = Momentum/RSI, B = Structure, C = Confirmation. Valid signals from any domain contribute their full weight without being suppressed by unrelated conditions in another domain.

2. Per-Timeframe Independence

Each RSI signal (divergence, reversal, crossover) is evaluated independently on each of the four timeframes: 4H, Daily, 3-Day, Weekly. A bullish crossover on 4H scores its points regardless of whether the Daily or Weekly crossover has occurred. Lower timeframes lead higher timeframes in recovery.

3. Event-Driven Lifecycle

Signals have defined lifecycles. Dynamic signals (Reversal) scale continuously with RSI movement. Live/die signals activate on condition met and deactivate on sustained failure. Fire-and-hold signals (Divergence) trigger once and persist until next cycle reset. This prevents stale signals from inflating the score.

4. Timeframe Weighting

Higher timeframes receive higher point values across all signals. A Weekly RSI divergence (2.0 pts) is worth 4x a 4H divergence (0.5 pts). This reflects greater informational weight and rarity of higher-TF signals.

5. Sectoral Relativity

Relative Strength is measured against the best-matching Nifty sectoral index, not a fixed benchmark. A defence stock is compared to Nifty India Defence, an IT stock to Nifty IT, etc. This ensures performance context is sector-appropriate.